

H.III Details and Timelines for Various Strategic Activities

Themes	Goals	Strategic Activities	Year 1	Year 2	Year 3	Year 4	Year 5
(1)	(2)	(3)	Upto 31.3.2020 (4)	1.4.2020-31.3.21 (5)	1.4.2021-31.3.22 (6)	1.4.2022-31.3.23 (7)	1.4.2023-31.3.24 (8)
			MoSPI data to be integrated into NIP.				
		2.1.2 Develop and implement IT based Generalised Survey Solutions (GSS) for all socio-economic surveys	Floating of RFP for hiring an agency for development of GSS	Training module development for supervisory and data quality management staff on use of para-data for survey management	Use of GSS to be extended to State Governments for NSS Surveys (state samples) in a phased approach	Use of GSS to be extended to State Governments for NSS Surveys (state samples) in a phased approach	
			Selection of agency for development of GSS	Use of GSS for all surveys of MoSPI	Use of GSS to be extended for use by Line Ministries for national surveys		
			Training/ Exposure of MoSPI core team on use of para-data for survey management	Use of GSS to be extended to State Governments for NSS Surveys (state samples) in a phased approach	Use of GSS to be extended to State Govts.		
2.2 Strengthen the monitoring of infrastructure projects	2.2.1 Revamp the existing mechanism for online monitoring of large infrastructure projects.	Finalisation of RFP for hiring an agency for revamping of Online Computerised management System (OCMS) for ongoing central sector infrastructure projects		Development and Commissioning of revamped user-friendly OCMS facilitating generation of analytical reports	Training of all implementing agencies on revamped OCMS giving a focus on data quality issues		
		Floating of RFP for hiring agency for revamping of OCMS		Training of key implementing agencies for use of revamped OCMS			

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(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
			Selection of a system integrator for revamping OCMS				
	2.3 Strengthening physical infrastructure of MoSPI	2.3.1 Procure building for MoSPI's Delhi offices for effective coordination of statistical activities with enhanced efficiency	Online uploading of draft PIB memo for procurement of building from NBCC				
			Appraisal by PIB on the proposal of procurement of building				
			Seeking cabinet approval on the proposal				
			Provisioning of budget				
			Signing of agreement with NBCC for procuring the building after getting cabinet approval	Project implementation continues	Project implementation continues	Furnishing of office complex.	Shift MoSPI offices to new building
			Identifying land for procurement for establishing a Centre of Excellence in Information and National Statistics	Preparation of Detailed Project Report (DPR), laying down the strategy of implementation	Drafting PIB Note for construction of building complex and seeking necessary approvals.	Construction of building complex commences (likely to take 3-4 years)	
3. Effective Human Capital Management	3.1 Enhancement of skills	3.1.1 Undertake training and skill need assessment	Engage an agency for skill need assessment of the	Implementation Framework and linking to			

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		in national statistical system and develop system wide national training policy in official statistics	national statistical system.	deployment of statistical personnel			
			NSSTA to examine the recommendations of the agency and prepare framework for time bound implementation	Review the progress of implementation			
			Institutional arrangements for implementation of the strategic plan (MoUs with identified agencies, training calendar, twinning programmes, etc.)				
			Collaboration with National Skill Development Corporation (NSDC) for developing and implementing courses for statistical survey enumerators, supervisors and data quality management	Implement statistical course modules for survey enumerators, supervisors and data quality for deployment of personnel through professional agencies.			
	3.1.2 Establish a Statistical Consultancy cum Innovation Cell to cater to the increasing demand for professional	Establish the Statistical Consultancy-cum-Innovation Cell using a collaborative approach with	Take up live projects for improving data quality in survey data and administrative statistics.	Trained professionals equipped with consultancy and R&D skills in official statistics to take up more live projects	Trained professionals equipped with consultancy and R&D skills in official statistics to take up more live projects		R&D, innovation and consultancy to be integral to national statistical system

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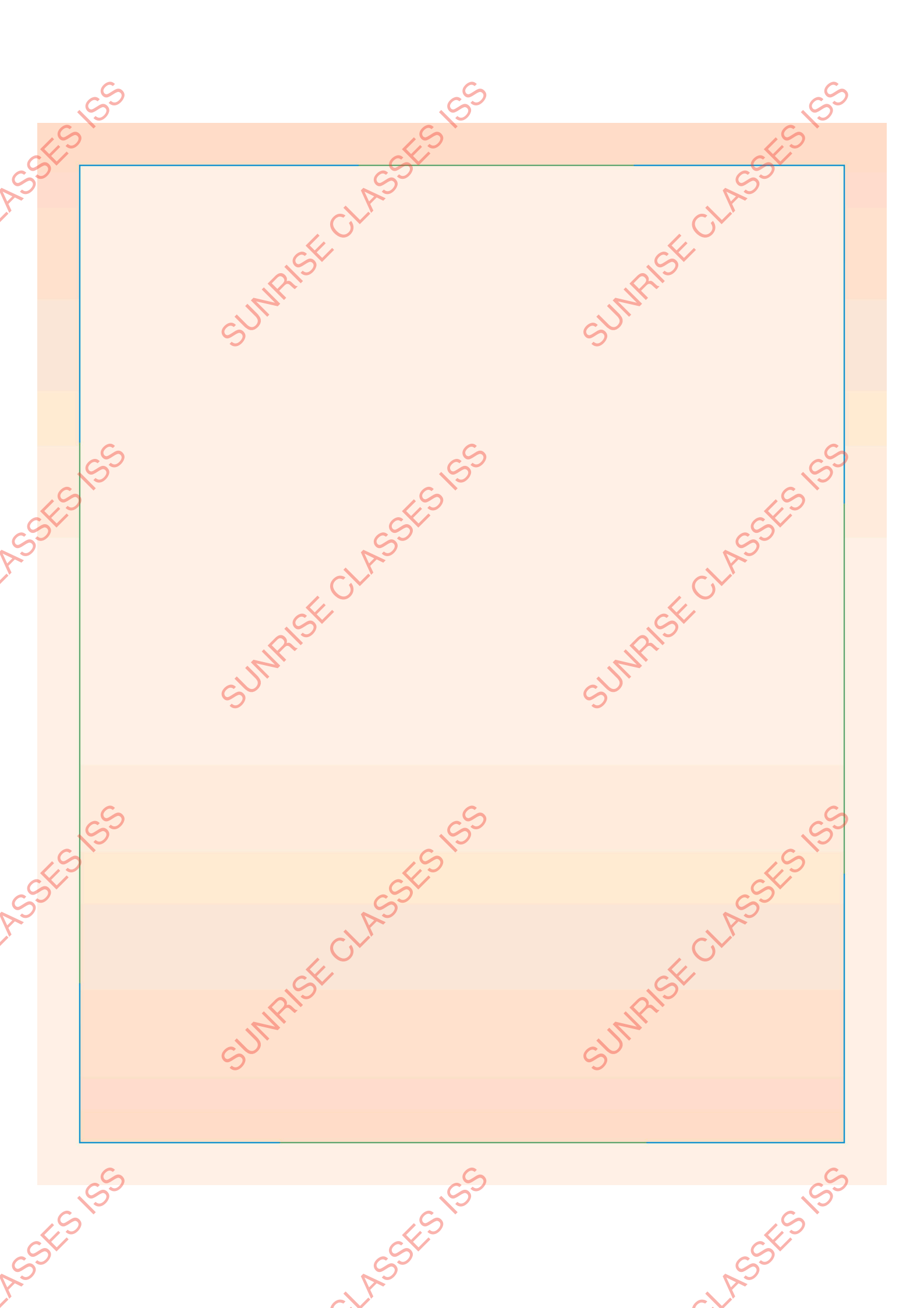
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(1)	(2)	(3)	Upto 31.3.2020	1.4.2020-31.3.21	1.4.2021-31.3.22	1.4.2022-31.3.23	1.4.2023-31.3.24
		statistical services of Government organisations and to promote Research, Development and Innovation in Official Statistic	(4)	(5)	(6)	(7)	(8)
			industry, academia and civil society	Encourage lab-to-field research in improving national statistics	at central and state levels	at central and state levels	
		3.1.3 Policy framework for training	Formulate training policy on official statistics and implementation strategy	Design training programmes through various means like regular workshops, broadcasts/ webcasts through electronic media/ internet, producing video CDs/ DVDs for distribution and use by central and state governments, Govt. offices and universities, sensitization programmes for different segments of population	Design training programmes in the emerging areas such as Big Data, Text Analytics, Artificial Intelligence, Deep Learning, Machine Learning, Internet of things, pattern recognition, predictive learning etc		NSSTA to be evolved as a centre of excellence for training/capacity building in official statistics.
			Design e-learning modules on official statistics for field investigators for using CAPI solutions	Design mandatory training courses for administrative statistics for other Central Civil Services and State Services	Develop programmes for skill development in data journalism and visualisation for making data more meaningful to users		
			Undertake pilot e-learning modules and refine the same using feedback				

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			Upto 31.3.2020	1.4.2020-31.3.21	1.4.2021-31.3.22	1.4.2022-31.3.23	1.4.2023-31.3.24
			Launch campaign for popularizing the e-learning modules				
	3.2 Enhancing training infrastructure on official statistics	3.2.1 Strengthen the physical and IT infrastructure of NSSTA.	Identifying land for procurement for establishing a Centre of Excellence in Information and National Statistics	Preparation of Detailed Project Report (DPR), laying down the strategy of implementation	Construction of building complex commences (likely to take 3-4 years)	Construction of building complex continues (completion likely in 2024-25)	Construction of building complex continues (completion likely in 2024-25)
			Prepare DIB Memo for acquiring additional land for NSSTA to augment its training facilities				
	3.2.2 Establish Zonal/regional training centres for building capacities at pan India level.		Upgrade the facilities of zones/regions of FOD to make zonal/regional training centres in official statistics.				



Data for Development





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Government of India
Ministry of Statistics and Programme Implementation
Sardar Patel Bhawan,
New Delhi



सत्यमेव जयते

**उद्योगों के वार्षिक सर्वेक्षण संबंधी
अनुदेश पुस्तिका
(संकल्पनाएँ, परिभाषाएँ एवं कार्यप्रणालियाँ)**

**INSTRUCTION MANUAL
ANNUAL SURVEY OF INDUSTRIES
(Concepts, Definitions and Procedures)**

**भारत सरकार
सांख्यिकी एवं कार्यक्रम कार्यान्वयन
मंत्रालय
राष्ट्रीय सांख्यिकी कार्यालय
डाटा क्वालिटी एस्युरेंस डिविजन
औद्योगिक सांख्यिकी स्कंध
अप्रैल, 2022**

**Government of India
Ministry of Statistics &
Programme Implementation
National Statistical Office
Data Quality Assurance Division
Industrial Statistics Wing
April, 2022**

Annual Survey of Industries

Instructions to Field Officials

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Chapter One

Introduction, Scope, Coverage and Sample Design

1.1 Annual Survey of Industries (ASI) is the principal source of industrial statistics in India. It provides statistical information to assess and evaluate, objectively and realistically, the changes in the growth, composition and structure of organized manufacturing sector comprising activities related to manufacturing processes, repair services, gas and water supply and cold storage. The survey has so far been conducted annually under the statutory provisions of the Collection of Statistics (COS) Act, 1953 and the rules framed there-under in 1959 except in the State of Jammu & Kashmir where it is conducted under the J&K Collection of Statistics Act, 1961 and rules framed there under in 1964. From ASI 2010-11 onwards, the survey is being conducted annually under the statutory provisions of the Collection of Statistics (COS) Act, 2008 (as amended in 2017) and the rules framed there-under in 2011.

1.2 **ASI Schedule:** ASI schedule is the basic tool to collect required data from the units selected for the survey. The schedule for ASI, at present, has two parts. Part-I of ASI schedule, processed at the IS Wing, DQAD Kolkata, aims to collect data on assets and liabilities, employment and labour cost, receipts, expenses, input items: indigenous and imported, products and by-products manufactured, distributive expenses, etc. Part-II of ASI schedule is processed by the Labour Bureau. It aims to collect data on different aspects of labour statistics, namely, working days, man-days worked, absenteeism, labour turnover, man-hours worked etc. The concepts and definition of various terms used in collection of ASI data are given in *Chapter Two*, and the details of the schedule, item descriptions and procedures for collecting information for each item are given in *Chapter Three*.

1.3 **Geographical Coverage:** The ASI extends its coverage to the entire country.

1.4 **Reference Period:** The reference period (year) for ASI is the financial year (April-March) for all items of Part – I & II. For example, reference period for ASI 2020-21 is the financial year 1st April 2020 – 31st March 2021.

1.5 **Survey Period:** The actual survey period for ASI is generally from the month of November to July in the subsequent year following the reference period.

1.6 **Coverage of Units:** It covers all factories registered under Sections 2(m)(i) and 2(m)(ii) of the Factories Act, 1948, where the manufacturing process is defined under Section 2(k) of the said Act. Details are given in *Annexure IV*. The survey also covers bidi and cigar manufacturing establishments registered under the Bidi and Cigar Workers (Conditions of Employment) Act 1966. All electricity undertakings engaged in generation, transmission and distribution of electricity, **not registered with the Central Electricity Authority (CEA)** are also covered under ASI. However, defence establishments, oil storage and distribution depots, departmental units such as railway workshops, RTC workshops, Govt. Mints, sanitary, water supply, gas storage etc. are excluded from the purview of the survey.

1.6.1 It was decided by the Standing Committee on Industrial Statistics (SCIS) that the coverage of ASI may be extended **beyond the purview of the Section 2m (i) and 2m (ii) of**

the Factories Act, 1948 and the Bidi & Cigar Workers (Conditions of Employment) Act, 1966. To start with, the units with 100 or more employees, not registered under Section 2m (i) and 2m (ii) of the Factories Act, 1948 but registered under any of the seven Acts / Board / Authority viz., *Companies Act, 1956, Factories Act, 1948, Shops and Commercial Establishment Act, Societies Registration Act, Cooperative Societies Act, Khadi and Village Industries Board, Directorate of Industries (District Industries Center)* in the Business Register of Establishments (BRE) as available with National Accounts Division and verified by Field Operations Division (FOD), are also considered for selection.

1.6.2 For data collection in ASI, an *establishment* approach (and not enterprise approach) is followed. An institutional unit in its capacity as a producer of goods and services is known as an enterprise. An enterprise may be engaged in one or more economic activities at one or more locations. An enterprise may be a sole legal unit. On the other hand, an establishment is defined as an enterprise or part of an enterprise that is situated in a single location and in which only a single productive activity is carried out or in which the principal productive activity accounts for most of the value of products and by-products.

1.6.3 The primary unit of enumeration in the survey is a *factory* in the case of manufacturing industries, a *workshop* in the case of repair services, an *undertaking* or a licensee in the case of electricity, gas and water supply undertakings and an *establishment* in the case of bidi and cigar industries. The owner of two or more establishments located in the **same state**, same sector (bidi, factory or electricity) and pertaining to the **same industry group (3-digit industry code)** falling under the census scheme is, however, permitted to furnish a single consolidated return, termed as 'Joint Return (JR)'. Such consolidated returns are a common feature in the case of bidi and cigar establishments & electricity undertakings. Details of JR are given in *Chapter Three*.

1.7 **Data Collection:** As per the Collection of Statistics Rules, 2011 under the Collection of Statistics Act, 2008, the consultation of Nodal Officer of Central Government is mandatory for conducting any Survey (Section 5[2]). The Nodal Officer is a designated Officer, not below the rank of Joint Secretary, Government of India of nodal department dealing with statistical matters, for exercising powers and performing duties under these rules (Section 3[1]). Now under the rule (Rule 7), a Statistics Officer for a specified period and specified territory is required to be appointed (Section 4 of the Act 2008) to conduct the Survey. The Statistics Officer is empowered by the Act (Sub-section 4 or 6 of Section 4 of the Act) to collect or authorize officials to collect information from any industrial and commercial unit concerned.

1.7.1 Notices may be issued by the Statistics Officer to factories concerned and the field staff authorized by Statistics Officer may collect and/or verify information from the authorised persons in the factories. The powers and duties of officials engaged in ASI are as given under the COS Act, 2008. These include power to enter premises, obtain copies of relevant documents. They have to maintain secrecy and confidentiality as per the provisions of the Act. A copy of the Notice served to the selected factories for furnishing data is given in *Annexure I*.

1.7.2 As per the Collection of Statistics Act, 2008, **any defaulting unit** may be prosecuted by or with the sanction of Statistics Officer and **any person who is employed** in the execution of any duty or functions under this Act fails to carry out his duties or knowingly makes any false declaration or seeks to obtain information which he is not authorized to obtain or violation of any of the confidentiality and secrecy of the information may be prosecuted by or with the consent of appropriate Government under Section 25.

1.7.3 ASI is a statutory survey and so the units/entrepreneurs are to submit the returns along with the balance sheet and other relevant documents within the prescribed period after the receipt of notice failing which penalty process may be initiated in accordance with the COS Act.

1.7.4 After the receipt of the filled-in return, the field officials of FOD are to verify the same, and check for any discrepancy. If a unit is unable to fill up the return as per the guidelines, it may contact the concerned field office of NSO (FOD) as mentioned in the *Notice* for guidance. In case any discrepancy is observed in the filled-in return, the field staff of FOD is to pay a visit to the concerned unit to verify the return from the relevant documents. Such unit has to extend all cooperation to the person visiting the unit for the purpose of verifying the return.

1.7.5 The duly filled in returns for the Central Sample are compiled and transmitted online to IS Wing, DQAD through ASI Web Portal for processing and publication of results.

1.8 **ASI Frame:** Availability of a complete and up-to-date frame of all the eligible units is an essential pre-requisite for any large-scale survey. In fact, availability of proper frame is one of the most critical requirements for working out correct multiplier to arrive at valid estimate.

1.8.1 The ASI frame is based on the lists of units mentioned in Section 1.6 and its sub-sections. The frame is being revised / updated every year before selection of the units by the Field Operations Division (FOD) of NSO in consultation with the Chief Inspector of Factories (CIF) in the state. At the time of revision, the names of the de-registered factories are removed from the ASI frame and those of the newly registered factories are added. The details of ASI frame along with the guidelines are given in *Annexure II*. The latest updated ASI frame is also available in ASI Web Portal. In case the State Government is conducting the survey on the state sample, FOD office concerned should also collect the feedback from the respective state governments while updating the Frame.

1.9 **Sampling Design:** The sampling design adopted in ASI has undergone considerable changes from time to time, taking into account the technical and other requirements. From ASI 2015-16, a new sampling design is adopted following the recommendations of the Sub-Group of the SCIS under the Chairmanship of Dr. G.C. Manna and approved by the SCIS and the National Statistical Commission (NSC) subsequently.

According to the new sampling design, all the units in the updated frame are divided into two parts – *Central Sample and State Sample*. The Central Sample consists of two schemes: Census and Sample. Under Census scheme, all the units are surveyed.

(1) **Census Scheme:**

(i) All industrial units belonging to the nine less industrially developed States/ UTs viz. Arunachal Pradesh, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim, Tripura, Ladakh and Andaman & Nicobar Islands.

(ii) All industrial units with Frame NIC = 0893(Salt Extraction).

(iii) For the States/ UTs other than those mentioned in (i),

(a) units having 75 or more employees from six States/UTs, namely, Jammu & Kashmir, Himachal Pradesh, Rajasthan, Bihar, Chhattisgarh and Kerala;

(b) units having 50 or more employees from three States/UTs, namely, Chandigarh, Delhi and Puducherry;

(c) units having 100 or more employees for rest of the States/UTs, not mentioned in (a) and (b) above and;

(d) all factories covered under 'Joint Return' (JR), where JR should be allowed when the two or more units located in the same State/UT, same sector and belong to the same industry (3-digit level of NIC-2008) under the same management.

(iv) After excluding the Census Scheme units in the above manner, all units belonging to the strata (**State x District x Sector x 3 digit NIC-2008**) having less than or equal to 4 units are also considered under Census Scheme. It may be noted that strata are separately formed under three sectors considered as **Bidi, Manufacturing and Electricity**.

(2) **Sample Scheme:**

All the remaining units in the frame are considered under **Sample Scheme**. For all the states, **each stratum is formed on the basis of State x District x Sector x 3-digit NIC-2008**. The units are arranged in descending order of their total number of employees. Samples are drawn using Circular Systematic Sampling technique for this scheme. An even number of units with a minimum of 4 units are selected and distributed in four sub-samples. It may be noted that in certain cases each of 4 sub-samples from a particular stratum may not have equal number of units.

(3) Out of these 4 sub-samples, two pre-assigned sub-samples (1 & 3) are given to NSO (FOD) and the other two-subsamples (2 & 4) are given to concerned State/UT for data collection.

(4) All census units *plus* all the units belonging to the two sub-samples given to NSO (FOD) are treated as the **Central Sample**.

(5) All census units *plus* all the units belonging to the two sub-samples given to State/UT are treated as the **State Sample**. Hence, **State/UT has to use Census Units (collected by NSO (FOD) and processed by IS Wing, DQAD) along with their sub-samples while deriving the state level estimates for their respective State/UT based on State Sample.**

(6) All census units *plus* all the units belonging to the two sub-samples given to NSO (FOD) *plus* all the units belonging to the two sub-samples given to State/UT are required for obtaining pooled estimates based on Central Sample and State Sample with increased sample size.

1.9.1 The sampling design and methodology adopted for estimation of the characteristics including estimation of error of the estimates are given in *Annexure III*.

1.10 **Industrial Classification:** From 1959 onwards, an industrial classification named 'Classification of Indian Industries' was adopted in ASI. With effect from ASI 1973-74, the National Industrial Classification (NIC) 1970 developed subsequently on the basis of UNISIC 1968 (Rev.2) was used. The NIC 1987 that followed UNISIC 1968 was adapted from ASI 1989-90 to ASI 1997-98. The NIC 1998, developed on the basis of UNISIC, 1990 (Rev. 3) was used from ASI 1998-99 to ASI 2003-04. NIC 2004, developed on the basis of UNISIC 2002 (Rev. 3.1) had been used from ASI 2004-05 to 2007-08. NIC 2008 developed on the basis of UNISIC Rev 4 is being adopted from ASI 2008-09 onwards.

1.11 **National Product Classification for Manufacturing Sector (NPCMS):** Central Product Classification (CPC) serves as the reference classification for all product classifications within the international system of economic classifications put in place by the United Nations. It is a complete product classification covering all goods and services that follows the definition of products within the SNA framework. Goods and services are understood as coming from a production process. The scope of the CPC covers (a) physical goods (which include transportable and non-transportable physical goods), (b) intangible goods and (c) services.

1.11.1 The National Product Classification for Manufacturing Sector (NPCMS), 2011 was prepared by CSO, IS Wing, Kolkata, based on Sections 0 to 4 of CPC, Ver. 2.0 that relate to products of manufacturing sector. The NPCMS, 2011 is a 7-digit classification and the structure is: 5-digit CPC Code + 2-digit Indian requirement and has 5 Sections, 39 Divisions, 192 Groups, 786 Classes and 1503 Sub-Classes with ultimate 7-digit products. From ASI 2010-2011 onwards, the 7-digit code and its description as per NPCMS, 2011 are being used for collecting and recording of all input and output items in ASI schedule. From ASI 2015-16 onwards, revised version of NPCMS, 2011 is used to classify the input and output items collected in ASI schedule.

Chapter Two

Concepts, Definitions and Procedures

2.1 A number of accounting, economic, statistical and other terms related to the factories are used in Annual Survey of Industries. For proper compilation/verification of ASI return, it is essential that the officials engaged in the conduct of ASI properly understand the terminology used in ASI. It is in this context that the concepts and definitions of some of the important terms are given below.

2.2 **Accounting Year:** For the purpose of ASI, the accounting year is the period for which the factory finalizes its books of account. With the enactment of Income Tax Act, by and large, the accounting year of all factories is from 1st April of the preceding year to 31st March of the current year.

2.3 **Factory (as per the Factories Act 1948):** Factory is one, which is registered under Sections 2m(i) and 2m(ii) of the Factories Act, 1948. The Sections 2m(i) and 2m(ii) refer to any premises including the precinct thereof (i) wherein ten or more workers are working, or were working on any day of the preceding twelve months, and in any part of which a manufacturing process is being carried on with the aid of power, or is ordinarily so carried on, or (ii) wherein twenty or more workers are working, or were working on any day of the preceding twelve months and in any part of which a manufacturing process is being carried on without the aid of power, or is ordinarily so carried on. 'Power' means 'any motive power used to drive the plant and machinery of the factory except animal and human power' as per Factories Act, 1948. The above definition is slightly modified due to the amendment of the Factories Act, 1948 for the States of Rajasthan & Maharashtra, as below, which is applicable from ASI 2015-16 onwards:

“Section 2m(i) has been modified, i.e., from *10 or more workers with power* to **20 or more workers with power** and also Section 2m(ii), i.e., from *20 or more workers without power* to **40 or more workers without power.**”

2.4 **Manufacturing Process:** This is as per Section 2(k) of the Factories Act, 1948, [Annexure IV].

2.5 **Gross Value of Plant and Machinery:** Gross value of plant and machinery represents the total book value of installed plant and machinery at the end of the accounting year. It includes the book value of own constructed plant and machinery, if installed. Total value of all the plant and machinery acquired on hire-purchase basis is also included. Thus it represents the gross value of plant and machinery engaged in production process.

2.6 **Fixed Capital:** Fixed Capital represents the depreciated value of fixed assets owned by the factory as on the closing day of the accounting year. Fixed assets are those, which have normal productive life of more than one year. Fixed capital covers all type of assets, new or used or own constructed, deployed for productions, transportation, living or recreational facilities, hospitals, schools, etc. for factory personnel. It would include land, building, plant and machinery, transport equipment etc. It includes the fixed assets of the

head office allocable to the factory and also the full value of assets taken on hire-purchase basis (whether fully paid or not) **excluding** interest element. It excludes intangible assets except computer software.

2.7 Depreciation: Depreciation is consumption of fixed capital (CFC) by the factory due to wear and tear and obsolescence during the accounting year and is taken as provided by the factory owner, or if not provided by the factory this is estimated on the basis of cost of installation and working life of the fixed assets. Detailed illustrations are given in *Chapter Three*.

2.8 Gross Value of Additions to Fixed Capital: It represents the actual (un-depreciated) additions to the fixed capital during the reference year.

2.9 Gross Fixed Capital Formation (GFCF): Gross fixed capital formation is measured by the total value of a producer's acquisitions, less disposals, of fixed assets during the accounting period *plus* certain specified expenditure on services that adds to the value of non-produced assets. For calculation of GFCF from ASI, please refer to Annexure-VIII.

2.10 Net Fixed Capital Formation (NFCF): It is defined as the GFCF *less* depreciation (i.e. consumption of fixed capital). For calculation of NFCF from ASI, please refer to Annexure-VIII.

2.11 Finished Goods: Finished Goods are those, which are manufactured by the factory for sale. Finished goods should conform to a prescribed standard.

2.12 Physical Working Capital: This is defined to include all physical inventories owned, held or controlled by the factory as on the closing day of the accounting year such as the materials, fuels and lubricants, stores, etc. that enter into products manufactured by the factory itself or supplied by the factory to others for processing. Physical working capital also includes the value of stock of materials, fuels and stores etc. purchased expressly for re-sale, semi-finished goods and goods-in-process on account of others and goods made by the factory which are ready for sale at the end of the accounting year. *However, it does not include the stock of the materials, fuels, stores, etc. supplied by others to the factory for processing.* Finished goods processed by others from raw materials supplied by the factory and held by them are included and finished goods processed by the factory from raw materials supplied by others, are excluded.

2.13 Working Capital: Working Capital is the sum total of the physical working capital as already defined above and the cash deposits in hand and at bank, the net balance of amounts receivable over amounts payable at the end of the accounting year. Amounts receivable include value of credit items on revenue account, such as sums due to the factory for goods sold, amounts advanced in connection with normal factory work, bills of exchange payable to the factory, payments made in advance such as for fire insurance, telephone charges, rates and taxes, call deposits and security deposits having a normal life of less than one year, etc. It excludes unused overdraft facility, advances for acquisition of fixed assets, long-term loans including interest thereon and investment.

2.14 **Invested Capital:** Invested capital is the total of fixed capital and physical working capital.

2.15 **Productive Capital:** This is the total of fixed capital and working capital.

2.16 **Outstanding Loans:** Outstanding loans represent all long term liabilities of the unit for the purpose of ASI. It includes all long-term loans, whether interest bearing or not, outstanding according to the books of the factory as on the closing day of accounting year. **But, in context of ASI, this represents loans, which have duration of more than one year (i.e. long-term) only.**

2.17 **Gross Capital Formation (GCF):** Gross capital formation is measured by the total value of the gross fixed capital formation plus changes in inventories and acquisitions less disposals of valuables.

2.18 **Worker:** Worker includes all persons employed directly, informally or formally or through contractor on payment of wages or salaries and engaged in any manufacturing process or its ancillary activities like cleaning any part of the machinery or any premises used for manufacturing or storing materials or any kind of work incidental to or connected with the manufacturing process.

2.19 **Contract Worker:** All persons who are not employed directly by a factory owner/employer but engaged through a third party i.e. agency/ contractor, are termed as contract workers. Such agency charges from the factory for this job.

2.20 **Total Persons Engaged:** It relates to all persons engaged by the factory whether for wages or not, in work connected directly or indirectly with the manufacturing process and include all administrative, technical and clerical staff as also labour in production of capital assets for factory's own use. This is inclusive of persons holding position of supervision or management or engaged in administrative office, store-keeping section and welfare section, watch and ward staff, sales department as also those engaged in the purchase of raw materials etc. and production of fixed assets for the factory. It also includes all working proprietors and their family members who are actively engaged in the work of the factory even without any pay and the unpaid members of the co-operative societies who work in or for the factory in any direct and productive capacity.

2.21 **Labour Turnover:** Labour turnover measures the extent of change in the working force due to accession and separation during a given period. The term 'accession' was defined as the total number of workers added to employment during the period, whether new or re-employed or transferred from other establishments or units under the same management. Inter-departmental transfers within the same establishment are, however ignored. The term 'separation' implies termination of employment at the instance of worker or employers. It includes termination of services due to death or retirement. As in the case of accession, transfers to other establishments are included but transfers within the same establishment are ignored. Retrenchment as a result of rationalization or modernization or any other cause, is also treated as separation.

2.22 **Wages:** Wages are defined to include all remuneration capable of being expressed in monetary terms and also paid more or less regularly in each pay period to workers as compensation for work done during the accounting year. It **includes:**

- (i) Direct wages and salary (i.e. basic wages/salaries), payment of overtime, dearness, compensatory, house rent and other allowances;
- (ii) Remuneration for period not worked (i.e. basic wages), salaries and allowances payable for leave period, paid holidays, lay-off payments and compensation for unemployment (if not paid from source other than employers);
- (iii) Bonus and ex-gratia payment paid more or less regularly (i.e., incentive bonuses and good attendance bonuses, production bonuses etc.).

2.22.1 It **excludes** layoff payments and compensation for unemployment except where such payments are for this purpose, i.e., payments not made by the employer. It **excludes** employer's contribution to old age benefits and other social security charges, direct expenditure on maternity benefits and crèches and other group benefit in kind and travelling and other expenditure incurred for business purposes and reimbursed by the employer. The wages are expressed in terms of gross value, i.e., before deductions for fines, damages, taxes, provident fund, employee's state insurance contribution etc. Benefits in kind (perquisites) of individual nature are only **included**.

2.23 **Bonus:** Profit sharing bonus, festival bonus, year-end bonus, and all other bonuses and ex-gratia payments paid at less frequent intervals are covered by this term.

2.24 **Workmen and Staff Welfare Expenses:** These include expenditure incurred by the employer on the maternity benefits and crèches and other benefits such as supply of food, beverages, tobacco, clothing and group lodging at concessional rates and educational, cultural and recreational facilities and services and grants to trade unions and cooperative stores meant for employees. **All group benefits are included.**

2.25 **Emoluments:** These are defined in the same way as wages but paid to all employees *plus* imputed value of benefits in kind i.e. the net cost to the employers on those goods and services provided to employees free of charge or at markedly reduced cost which are clearly and primarily of benefit to the employees as consumers. It includes profit sharing, festival and other bonuses and ex-gratia payments paid at less frequent intervals (i.e. other than bonus paid more or less regularly for each period). Benefits in kind include supplies or services rendered such as housing, medical, education and recreation facilities. Personal insurance, income tax, house rent allowance, conveyance etc. for payment by the factory also is included in the emoluments.

2.26 **Supplements to Emoluments:** These include: (i) Employer's contribution to old age benefits, i.e., provident fund, pension, gratuity, etc.; (ii) Employer's contribution towards other social security charges such as Employees' State Insurance, compensation for work injuries, occupational diseases, maternity benefits, retrenchment and lay-off benefits etc.; and (iii) Group benefits like direct expenditure on maternity, crèches, canteen facilities,

educational, cultural and recreational facilities and grant to trade unions, co-operative stores etc. meant for employees.

2.27 Compensation of Employees: Compensation of employees is the total of emoluments and supplement to emoluments.

2.28 Mandays Worked: These are obtained by summing up the number of mandays worked by persons working in each shift over all the shifts on all days, i.e. both manufacturing and non-manufacturing days. This figure excludes persons who are paid but remain on leave, strike, etc. Manufacturing days will mean and include number of days on which actual manufacturing process was carried out by the unit where as Non-manufacturing days will mean and include number of days on which only repair/maintenance and construction work were undertaken.

2.29 Mandays Paid For: The number of mandays paid for is arrived at by summing up the number of employees paid for in each shift. This also includes mandays on weekly schedule holidays if paid for and those absences with pay as also mandays lost through lay off/ strike for which compensation was payable.

2.30 Working Day: Working day means the days on which a manufacturing process and/or repair or maintenance work was carried on.

2.31 Non-working Day: Apart from manufacturing day and repair and maintenance days, there may be some non-working days. Non-working days are those days on which the workers give their attendance but due to non-availability of raw materials, power etc., no effective work is done. As the workers are paid for these days, such days are also taken into account for the purpose of labour statistics.

2.32 Basic Materials: Basic materials are the materials which are important and of key nature to the industry, on which the manufacturing process is based, viz. metal for machine, leather for shoe, wood for furniture. Such material is not lost through the process of production but only changes its forms.

2.33 Consumable Stores: All such materials which assist in the manufacturing process and lose their identity without entering the products are called consumable stores, e.g., cotton waste.

2.34 Fuel Consumed: Fuel Consumed represent total purchase value of all items of fuels, lubricants, electricity, water (purchased to make steam) etc. consumed by the factory during the accounting year except those which directly enter into products as materials consumed. It excludes that part of fuels, which is produced and consumed by the factory in manufacture i.e., all intermediate products and also fuels consumed by employees as part of amenities. It includes quantities acquired and consumed from allied concerns, their book value being taken as their purchase value and also the quantities consumed in production of machinery or other capital items for factory's own use.